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India Materials | Asia Pacific

Steel: Looking beyond seasonality

Localization of the Indian steel industry and the medium-term anti-involution theme in China provide structural support for steel spreads beyond seasonality. Steel stocks have performed well, and we expect select names to continue to outperform, supported by strong earnings growth potential.

Steel stocks have performed well: Higher steel prices and limited impact from the Middle East conflict have kept earnings cuts risk low, in our view, supporting continued outperformance this year following a strong 2025. Steel stocks in our coverage rose ~12% YTD (market cap-weighted), while the Sensex declined ~13% (vs. +27% for steel and ~9% for the Sensex in 2025).

We believe this strong performance cycle is not yet over and expect steel stocks to remain well supported over the medium term:

- **Barring seasonality, spreads are supported:** Domestic HRC prices have risen ~26% from mid-December lows, supported by the extension of safeguard duties. Some recent pullback reflects seasonally weaker demand, with domestic HRC now trading at an ~8% discount to import parity (per our estimates). Against this backdrop, spreads have declined ~11% from their April peak and may remain under pressure through the monsoon period, in line with historical trends. However, as demand improves post-monsoon, we expect domestic prices to find support and spreads to expand.
- **Limited Middle East conflict impact:** While higher explosives and logistics costs and currency depreciation have driven some cost inflation, most raw material sourcing remains independent of the Middle East, limiting direct impact. However, a prolonged conflict could affect downstream industries, potentially weighing on domestic demand.
- **China medium-term story intact:** Chinese exports have softened amid the Middle East conflict and seasonally weak domestic demand, which could pressure near-term spreads. However, the medium-term anti-involution theme should support domestic margins.

Raise estimates: We raise our India HRC price assumptions to reflect currency depreciation and higher raw material costs. As a result, we increase F27 steel spread estimates by ~2%, while F28 remains largely unchanged. We revise earnings estimates and roll forward our valuation base, leading to higher price targets. We expect select steel stocks to continue to perform well over the next 12 months. Maintain OW on JSW Steel, Jindal Steel, and Tata Steel, and UW on SAIL.

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INDIA MATERIALS
Asia Pacific
Industry View In-Line

Exhibit 1 : India – Steel: What's changed

Company Name	Tickers	Rating Unchanged	Current Price (Rs)	Price Target (Rs)		Upside/ (Downside)	EBITDA Change (%)	
				OLD	NEW		F2027e	F2028e
Steel								
Jindal Steel	JINT.NS	OW	1149	1250	1340	17%	5%	-1%
JSW Steel	JSTL.NS	OW	1259	1330	1470	17%	-11%	-11%
Tata Steel	TISC.NS	OW	203	215	235	16%	-4%	3%
SAIL	SAIL.NS	UW	186	140	160	-14%	10%	6%

Source: Morgan Stanley Research (e) estimates. Prices as of June 9, 2026.

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India Materials: Order of Preference

We prefer global commodities over domestic commodities. Within this, we favor **Aluminum**, as a tight medium-term demand–supply outlook should support prices at elevated levels for longer.

We also like **Steel**, supported by policy measures such as safeguard duties and the medium-term China anti-involution theme, which should help balance global demand–supply and support prices. This should translate into improved spreads and margins for steel stocks in our coverage. However, we believe rerating potential is largely priced in, given rich valuations, and expect stock performance to be driven primarily by earnings growth.

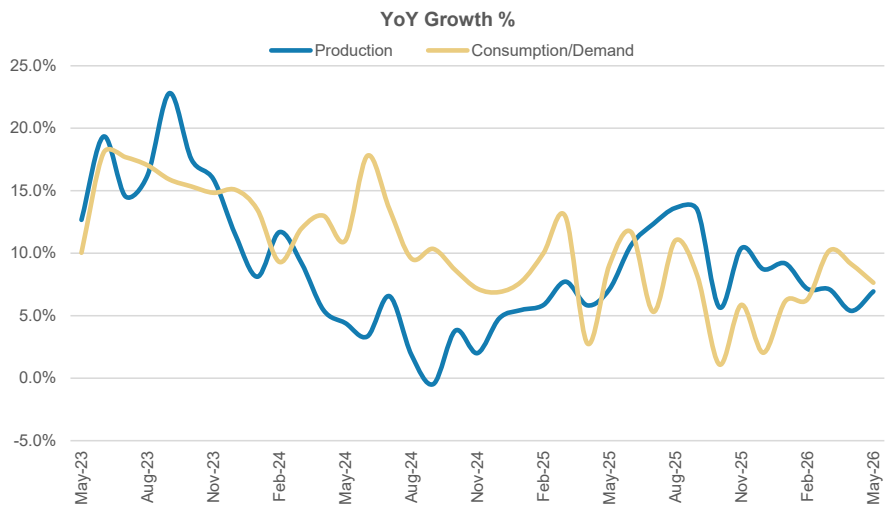
Coal, while a global commodity, is perceived as more domestic in India, with Coal India acting as a proxy for thermal power demand. Weak thermal power demand trends, along with elevated inventories at power plants, continue to constrain CIL's volume growth. Higher global thermal coal prices have supported e-auction volumes and pricing, but we believe current valuations already reflect this.

For **Cement**, recent price hikes should offset upcoming cost pressures (driven by the Middle East conflict). However, risks remain from potential cost slippage amid a slowing demand environment. At the same time, supply remains strong, which could pressure pricing power. As a result, we see potential downside risks to F27 margins.

Key Exhibits

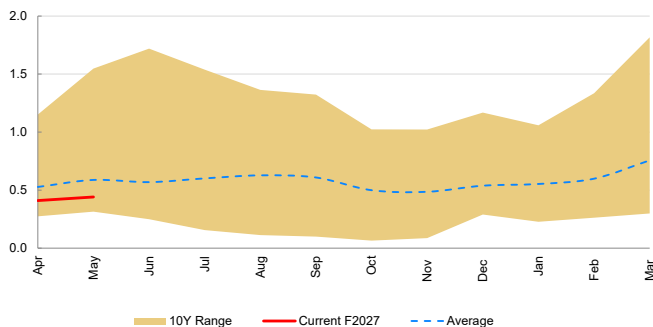
Demand/supply

Exhibit 2: India: Expect domestic production growth to pick up as new capacities ramp up through the year; demand likely to remain good



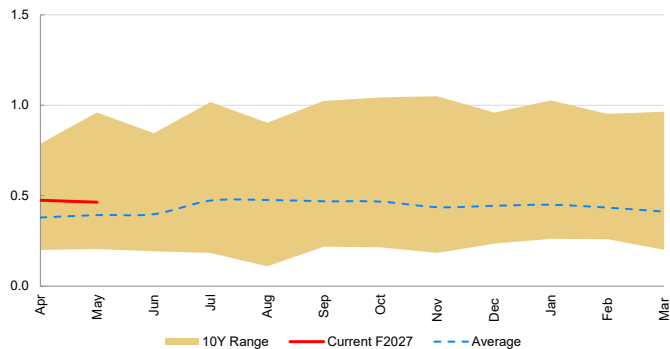
Source: JPC, Ministry of Steel, Morgan Stanley Research. Above data for non-alloy finished steel.

Exhibit 3: Gross exports of finished steel picked up recently, but should normalize as demand picks up beyond monsoons (million tons)



Source: JPC, Ministry of Steel, Morgan Stanley Research. Note: 10-year range reflects F16 to F26. Above data is for non-alloy steel.

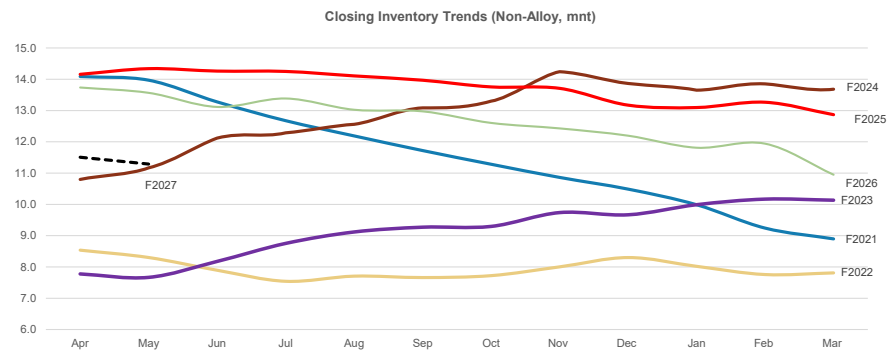
Exhibit 4: Gross imports of finished steel rose April-May, but should moderate given unfavourable pricing (million tons)



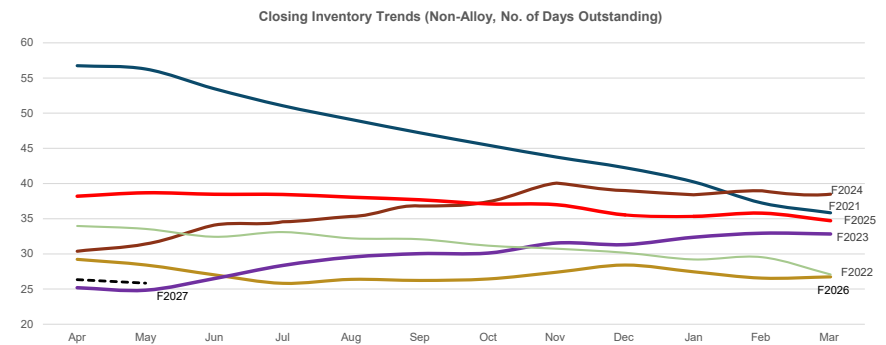
Source: JPC, Ministry of Steel, Morgan Stanley Research. Note: 10-year range includes F16 to F26. Above data is for non-alloy steel.

Exhibit 5:

Finished steel inventory (non-alloy) on an absolute basis has come off (mnt)...



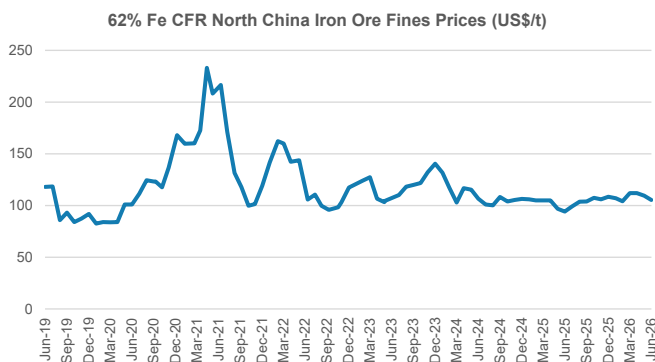
Source: JPC, Ministry of Steel, Morgan Stanley Research.

Exhibit 6: ...and looks even more attractive on an inventory days outstanding basis

Source: JPC, Ministry of Steel, Morgan Stanley Research

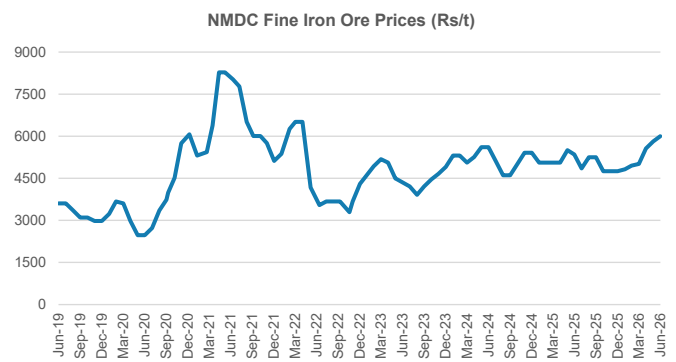
Prices and spreads

Exhibit 7: International iron ore prices have remained elevated in recent months; we expect some pullback from here

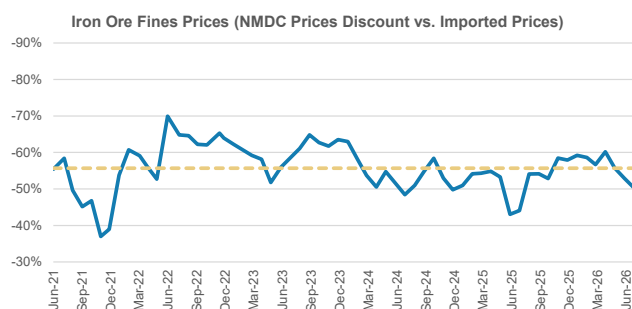


Source: Platts, Morgan Stanley Research

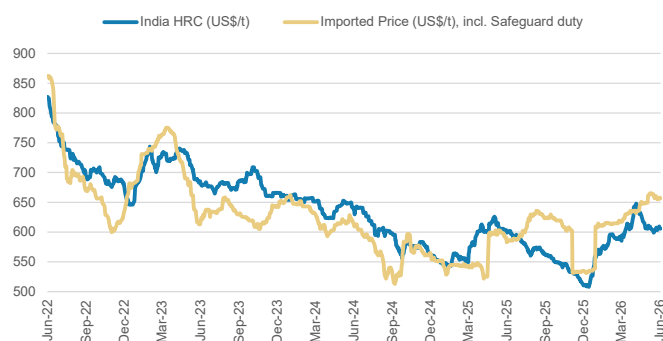
Exhibit 78: Domestic iron ore prices (NMDC) have also seen some expansion



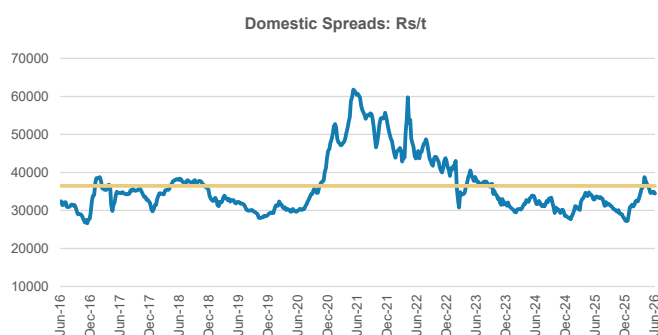
Source: Company data (NMDC), Morgan Stanley Research.

Exhibit 9: Domestic iron ore prices discount vs. import parity has narrowed (%)

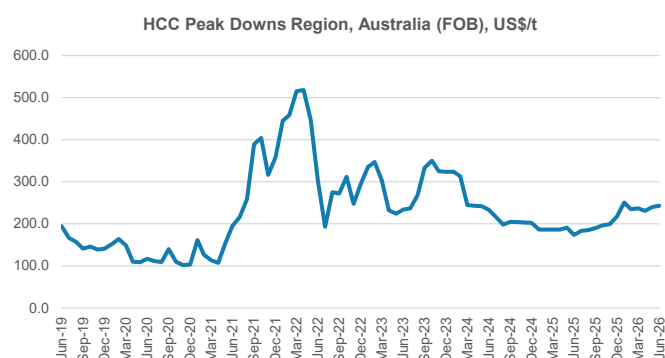
Source: NMDC, IBM, Morgan Stanley Research. Note: NMDC 64% Fe Fine prices vs. import parity prices. For imported iron ore, we have taken 65% Fe CFR North China and import duty of 2.5%.

Exhibit 11: Domestic steel prices have seen some rollbacks to account for upcoming weak demand season

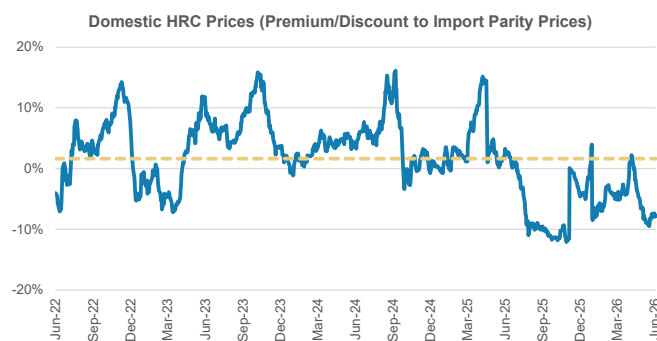
Source: Platts, Morgan Stanley Research. Note: Import parity prices arrived at using China HRC export prices, import duty of 7.5%, surcharge of 10% on import duty, freight charges, etc.

Exhibit 13: India's HRC spreads: We expect support over medium term

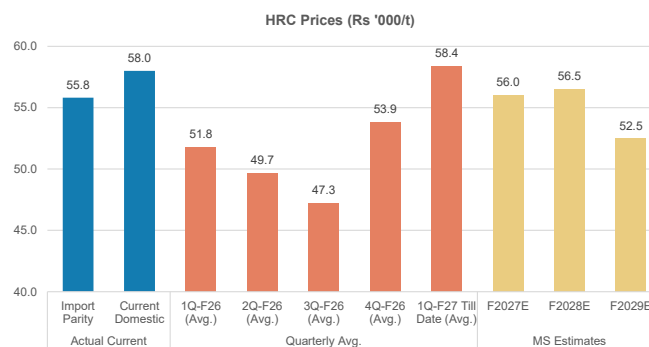
Source: Platts, NMDC, Morgan Stanley Research. Note: HRC Spreads = Spot HRC Price - (1.6 x NMDC Iron Ore price) - (0.6 x Global HCC prices).

Exhibit 10: Coking coal prices too have stayed higher over recent months

Source: Platts, Morgan Stanley Research.

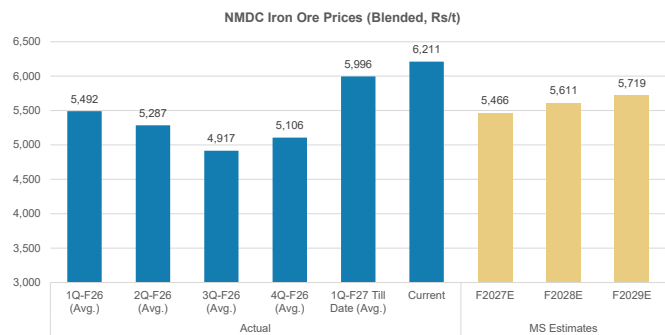
Exhibit 12: India's HRC prices: Currently at ~8% discount to import parity prices including safeguard duty

Source: Platts, Morgan Stanley Research. Note: Import parity prices arrived at using China HRC export prices, safeguard duty (where applicable) at 12%, import duty of 7.5%, surcharge of 10% on import duty, freight charges, etc.

Exhibit 14: HRC prices: Trends and expectations

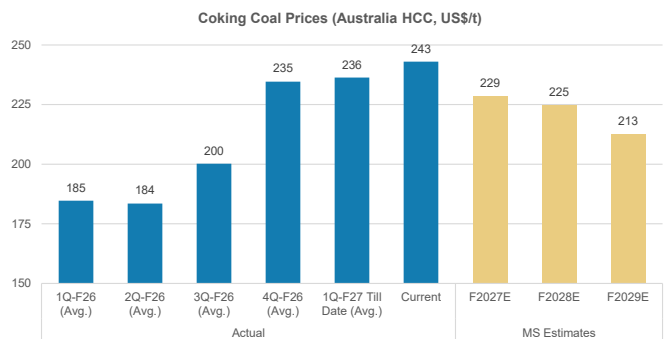
Source: Platts, Morgan Stanley Research (E) estimates

Exhibit 15: Iron ore prices: Trends and expectations



Source: NMDC, Morgan Stanley Research (E) estimates. Note: We use blended iron ore prices using 20% lump and 80% fines prices.

Exhibit 16: Coking coal prices: Trends and expectations



Source: Platts, Morgan Stanley Research (E) estimates

Changes to Estimates, Scenario Values and Price Targets

We revise our scenario values and price targets across steel companies:

- We revise our EBITDA and EPS estimates across our covered companies to reflect the 4Q-F26/F2026 results as well as changes in commodity price assumptions (see [Exhibit 18](#) for details).
- We also revise volume estimates to incorporate capacity ramp-ups across private players and debottlenecking initiatives at SAIL.
- For JSW Steel, we adjust our model to reflect BPSL as a 50:50 JV, versus a fully owned subsidiary previously. Accordingly, we revise earnings estimates and adopt an SoTP valuation framework to capture BPSL separately.
- Changes to EPS appear optically larger owing to low base.
- Change in valuation methodologies: We move from a residual income approach to a target EV/EBITDA framework, which we believe better captures valuation dynamics in an upcycle.
- Changes to scenario values differ from near-term earnings revisions, as we also update assumptions for outer years.
- We roll forward our valuation base by six months to June 2027.
- All other key valuation assumptions, where applicable, remain unchanged.

Exhibit 17: India - Steel Stock Performance Snapshot

	Absolute Performance								Relative Performance to Sensex							
	1D	1W	1M	3M	6M	1Y	YTD	2025	1D	1W	1M	3M	6M	1Y	YTD	2025
Tata Steel	0%	-4%	-5%	4%	27%	29%	13%	30%	0%	-3%	-1%	8%	45%	44%	30%	20%
JSW Steel	0%	-4%	-1%	7%	14%	25%	8%	29%	-1%	-3%	3%	11%	30%	39%	25%	19%
Jindal Steel	-1%	-5%	-8%	-3%	15%	18%	9%	13%	-1%	-4%	-4%	1%	31%	31%	26%	4%
SAIL	1%	-10%	1%	21%	44%	39%	27%	30%	1%	-9%	5%	26%	65%	55%	46%	19%

Source: FactSet, Morgan Stanley Research. Data as of June 9, 2026. Results shown represent total absolute return (including dividends) and exclude brokerage commissions and transaction costs. These figures are not audited. Past performance is no guarantee of future results.

Exhibit 18: Commodity Prices: What's changed

	F2027E			F2028E			F2029E		
	Old	New	% Change	Old	New	% Change	Old	New	% Change
India HRC (Rs '000/t)	54.0	56.0	3.8%	55.0	56.5	2.6%		52.5	
HCC (US\$/t)	215	229	6.4%	213	225	5.9%		213	
Domestic Iron Price (Rs/t)	5074	5466	7.7%	5074	5611	10.6%		5719	

Source: Morgan Stanley Research (E) estimates

Exhibit 19: Summary of estimate changes for our Indian Steel coverage

Rs Bn	F2027e			F2028e		
	Old	New	% Change	Old	New	% Change
Tata Steel						
Revenue	2508	2560	2%	2656	2663	0%
EBITDA	462	445	-4%	504	521	3%
PAT	213	194	-9%	244	249	2%
EPS (Rs)	17.1	15.5	-9%	19.6	19.9	2%
Jindal Steel						
Revenue	665	695	4%	760	776	2%
EBITDA	140	146	5%	193	192	-1%
PAT	69	72	5%	106	107	0%
EPS (Rs)	67.9	71.2	5%	105.2	104.7	0%
JSW Steel						
Revenue	2103	1946	-7%	2309	2152	-7%
EBITDA	386	345	-11%	467	415	-11%
PAT	139	98	-29%	203	146	-28%
EPS (Rs)	57.1	40.3	-29%	83.2	59.9	-28%
SAIL						
Revenue	1148	1230	7%	1199	1273	6%
EBITDA	127	140	10%	158	167	6%
PAT	40	49	21%	60	67	12%
EPS (Rs)	9.8	11.8	21%	14.6	16.3	12%

Source: Morgan Stanley Research (e) estimates.

Exhibit 20: India Steel: Changes in scenario values and price targets

India Metals & Mining	OLD (Rs)				NEW (Rs)				Change (%)			
	Bull	Base	Bear	PT	Bull	Base	Bear	PT	Bull	Base	Bear	PT
Tata Steel	330	190	135	215	330	225	135	235	0%	19%	0%	10%
SAIL	240	120	85	140	255	145	75	160	6%	21%	-12%	15%
Jindal Steel	1950	1130	730	1250	1900	1270	710	1340	-3%	12%	-3%	7%
JSW Steel	2150	1180	750	1330	2325	1325	750	1470	8%	12%	0%	11%

Source: Morgan Stanley Research estimates

Exhibit 21: JSW Steel: Scenario values and price targets

Rs Bn	Bull	Base	Bear	PT
Probability Weights	20%	70%	10%	
JSW Consol				
EBITDA (12M ending June 2028)	538	414	352	
Target EV/EBITDA (x)	12.0x	10.0x	8.0x	
Target EV	6482	4158	2830	
Less: Net Debt (June 2027)	1062	1062	1062	
Target Equity Value	5420	3096	1768	
No. of Shares, diluted (Mn)	2,440	2,440	2,440	
Target Value Per Share (Rs)	2220	1270	725	
BPSL:JFE JV				
EBITDA (12M ending June 2028)	55	42	36	
Target EV/EBITDA (x)	12.0x	10.0x	8.0x	
Target EV	663	426	290	
Less: Net Debt (June 2027)	162	162	162	
Target Equity Value	501	264	128	
Value Attributable to JSW	251	132	64	
No. of Shares, diluted (Mn)	2,440	2,440	2,440	
Target Value Per Share (Rs)	105	55	25	
Overall Value Per Share (Rs)	2325	1325	750	1470

Source: Morgan Stanley Research estimates

Exhibit 22: Jindal Steel: Scenario values and price targets

Rs Bn	Bull	Base	Bear	PT
Probability Weights	20%	70%	10%	
EBITDA (12M ending June 2028)	231	192	144	
Target EV/EBITDA (x)	9.0x	7.5x	6.0x	
Target EV	2070	1433	858	
Less: Net Debt (June 2027)	138	138	138	
Target Equity Value	1933	1295	721	
<i>No. of Shares, diluted (Mn)</i>	<i>1,018</i>	<i>1,018</i>	<i>1,018</i>	
Target Value Per Share (Rs)	1900	1270	710	1340

Source: Morgan Stanley Research estimates

Exhibit 23: Tata Steel: Scenario values and price targets

Rs Bn	Bull	Base	Bear	PT
Probability Weights	20%	70%	10%	
EBITDA (12M ending June 2028)	636	517	419	
Target EV/EBITDA (x)	7.5x	6.5x	5.5x	
Target EV	4768	3385	2320	
Less: Net Debt (June 2027)	662	662	662	
Target Equity Value	4106	2723	1657	
<i>No. of Shares, diluted (Mn)</i>	<i>12,486</i>	<i>12,486</i>	<i>12,486</i>	
Target Value Per Share (Rs)	330	225	135	235

Source: Morgan Stanley Research estimates

Exhibit 24: SAIL: Scenario values and price targets

Rs Bn	Bull	Base	Bear	PT
Probability Weights	20%	70%	10%	
EBITDA (12M ending June 2028)	202	162	138	
Target EV/EBITDA (x)	7.0x	6.0x	5.0x	
Target EV	1417	971	688	
Less: Net Debt (June 2027)	376	376	376	
Target Equity Value	1040	595	312	
<i>No. of Shares, diluted (Mn)</i>	<i>4,131</i>	<i>4,131</i>	<i>4,131</i>	
Target Value Per Share (Rs)	255	145	75	160

Source: Morgan Stanley Research estimates

Exhibit 25: India – Steel: Valuation comps

Company Name	Rating	PT (Rs)	% Upside / Downside	Domestic EBITDA/t (Rs)			EV/EBITDA					
				F26	F27E	F28E	On CMP			On PT		
							F26	F27e	F28e	F26	F27e	F28e
Jindal Steel	OW	1,340	17%	11,364	13,819	16,419	13.6x	9.2x	6.9x	15.6x	10.6x	7.9x
JSW Steel	OW	1,470	17%	9,460	10,181	11,476	12.1x	11.5x	9.6x	13.8x	12.9x	10.8x
Tata Steel	OW	235	16%	14,413	16,739	17,814	9.8x	7.5x	6.2x	11.0x	8.4x	7.0x
SAIL	UW	160	-14%	5,593	6,649	7,767	10.1x	7.7x	6.8x	9.1x	6.9x	6.1x

Source: FactSet, company data, Morgan Stanley Research (e) estimates. Note: Tata Steel EBITDA/t is for the India business only. JSW Steel valuations incorporate 50% value for BPSL as well. Based on share prices as of June 9, 2026.

Industry Demand-Supply Snapshot

Exhibit 26: India – Steel: Demand-Supply Snapshot

Indian Steel - Snapshot (mnt)	F2021	F2022	F2023	F2024	F2025	F2026	F2027e	F2028e	F2029e
Crude Steel Capacity	144	154	161	180	195	205	225	245	255
% Growth YoY	1%	7%	5%	12%	8%	5%	10%	9%	4%
Crude Steel production (BASE)	104	120	127	144	152	169	183	196	209
% Growth YoY	-5.1%	16.2%	5.7%	13.4%	5.5%	11.2%	8.0%	7.0%	7.0%
Utilization % (on average capacity)									
BASE CASE	72.4%	80.7%	80.8%	84.6%	81.2%	84.6%	85.0%	83.3%	83.7%
<i>Finished Steel production/Crude production Ratio</i>	92.9%	94.4%	96.9%	96.4%	96.4%	95.6%	95.6%	95.6%	96.0%
Production of Finished Steel (net of captive consumption/double counting)									
Total - BASE CASE	96.2	113.6	123.2	139.2	146.7	161.7	174.7	187.0	200.9
% Growth YoY	-6.3%	18.1%	8.5%	13.0%	5.4%	10.3%	8.0%	7.0%	7.4%
Exports (Non Alloy)									
BASE CASE	9.9	12.4	4.5	6.8	4.1	5.8	5.5	5.5	7.0
Imports (Non Alloy)									
BASE CASE	3.2	2.9	3.7	6.2	6.9	4.6	4.5	5.5	6.5
Net Imports/(Exports) (Non Alloy)									
BASE CASE	(6.7)	(9.5)	(0.8)	(0.6)	2.8	(1.2)	(1.0)	-	(0.5)
Change in Inventory (Non Alloy)									
BASE CASE	4.8	1.0	(2.3)	(3.5)	0.8	2.4	1.5	1.0	1.0
Domestic consumption/demand (Non Alloy)									
BASE CASE	88.7	98.2	110.4	125.6	138.9	148.8	159.9	171.6	183.9
% Growth YoY	-5.1%	10.7%	12.5%	13.8%	10.6%	7.2%	7.4%	7.3%	7.2%

Source: World Steel Association, company data, Morgan Stanley Research (e) estimates

Risk Reward – Tata Steel (TISC.NS)

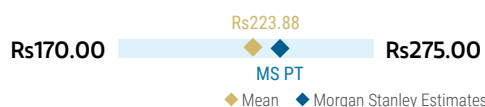
Slower growth but foreign business improving and margins expanding domestically

PRICE TARGET Rs235.00

Probability-weighted target EV/EBITDA: base case 70%, bull case 20% (upside from improved global macroeconomic environment supports steel prices and volumes in the medium term, further supported by safeguard duty extension), bear case 10% (downside risks from unfavorable demand/supply and steel price outlook in the medium term).

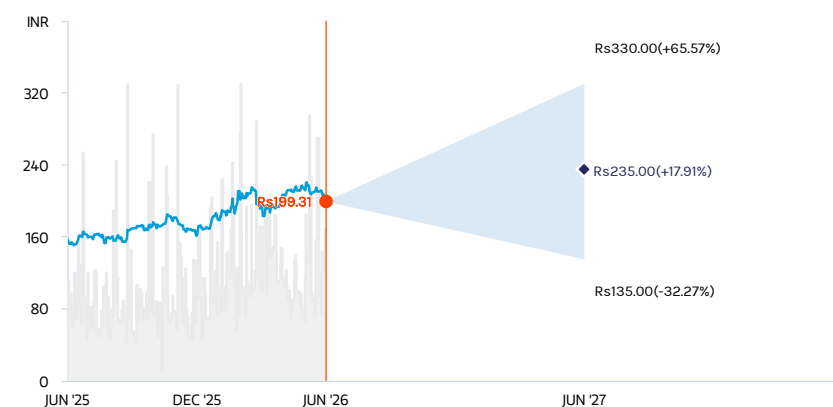
Key assumptions - target Jun-28 EV/EBITDA: bull case: ~7.5x; base case: ~6.5x; bear case: ~5.5x.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

■ Tata Steel has strengthened its domestic market share and balance sheet over the past few years.

■ While profitability continues to face headwinds from its European operations, we believe the worst is likely behind. Improving domestic steel prices should support margin expansion over the next few years.

■ Against this backdrop, current valuations of ~7x F27 EV/EBITDA appear sustainable, in our view.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rs330.00

~7.5x June-28e EV/EBITDA

Higher domestic demand and steel prices; healthier Tata Steel Europe performance: Domestic demand picks up faster than expected, and our steel price assumptions are higher than in our base case. Improved global macro environment helps pricing and margins for the TSE business.

BASE CASE

Rs225.00

~6.5x June-28e EV/EBITDA

Spreads should improve for domestic business and profitability for European business should recover: We estimate ~5% domestic volume CAGR over F26-28. EBITDA/t, however, should improve, helped by higher steel prices (to ~Rs17.8K/t). Consolidated EBITDA improves, supported by recovery in the European business operations. Net debt-equity remains strong at ~0.4x by F28e.

BEAR CASE

Rs135.00

~5.5x June-28e EV/EBITDA

Global macro climate weakens, driving steel prices lower; EU operations continue to face challenges: Steel prices remain depressed amid muted demand growth, curbing Indian volumes. Weak prices and cost slippages limit TSE's profitability.

Risk Reward – Tata Steel (TISC.NS)

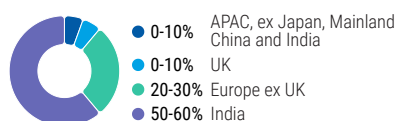
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
India Operations Volume Growth (YoY) (%)	7.6	6.6	4.0	4.0
India Operations Realization Change (YoY) (%)	(2.0)	4.0	2.3	(1.7)
Raw Material Cost/tonne (Rs)	23,386	23,550	23,369	23,456
India Operations EBITDA/tonne (Rs)	14,413	16,739	17,814	16,246
Capex (Rs, mn)	242,628	200,000	200,000	200,000

INVESTMENT DRIVERS

- Trends in inventory levels and steel prices
- Trends in input costs, especially coking coal
- Earnings and cash flow trends for TSE

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Improvement in Indian steel demand growth and recovery in steel prices
- Faster-than-expected improvement in global macroeconomic environment, thereby driving improvement in the European business

RISKS TO DOWNSIDE

- Sharp correction in international steel prices
- Deeper-than-expected losses in Europe

OWNERSHIP POSITIONING

Inst. Owners, % Active 79.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e

Sales / Revenue (Rs, mn) 2,364,703 2,559,678 2,765,466
2,601,221

EBITDA (Rs, mn) 382,000 445,206 494,000
446,019

EPS (Rs) 8.00 15.54 18.50
14.93

ROE (%) 11.0 19.0 20.4
17.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Tata Steel: Financial Summary

Exhibit 27: Tata Steel: Financial Summary

Income Statement (Rs bn)	F26	F27E	F28E	F29E	Cash Flow (Rs bn)	F26	F27E	F28E	F29E
Net Sales	2,321	2,560	2,663	2,699	Net Profit	108	194	249	237
Change in Inventory	10	(60)	(60)	(65)	Depreciation	120	132	137	142
Raw Materials	926	1,233	1,243	1,278	Chg in Inventory	(27)	(20)	(6)	(12)
Employee Costs	260	292	301	310	Chg in Debtors	3	(21)	(3)	(1)
Other Operating Costs	782	649	658	671	Chg in Other Current Assets	(26)	18	14	12
Total Expenses	1,978	2,114	2,142	2,194	Chg in Creditors	52	43	3	11
EBITDA	344	445	521	506	Chg in Other Current Liab	24	10	10	11
Other Income	14	14	15	16	Chg in Provisions	22	(1)	(6)	(5)
Depreciation	120	132	137	142	Net Operating Cash Flow	276	356	399	393
Interest Expense	72	73	71	68	Capex	(243)	(200)	(200)	(200)
Extraordinary Exp	(10)	-	-	-	Chg in Investments	(11)	(7)	(8)	(9)
PBT	156	255	328	311	Chg in Defrd Tax Assets	(8)	-	-	-
Tax	51	64	82	78	Chg in Goodwill	(36)	-	-	-
Reported PAT	108	194	249	237	Cash Flow from Investing	(297)	(207)	(208)	(209)
Adjusted PAT	118	194	249	237	Chg in Equity & Pref Shares	66	1	1	1
					Chg in Borrowings	(24)	89	(50)	(59)
					Dividend Paid	(50)	(50)	(50)	(50)
					Chg in Def Tax Liab	9	3	3	3
					Chg in Misc Exp	-	-	-	-
					Cash Flow from Financing	5	37	(103)	(113)
					Inc / (Dec) in Cash	(16)	186	88	72
Balance Sheet (Rs bn)	F26	F27E	F28E	F29E	Ratios	F26	F27E	F28E	F29E
Share Capital	12	12	12	12	EPS	9.47	15.54	19.92	18.95
Reserves	1009	1153	1352	1539	BVPS (Diluted)	82	93	109	124
Net Worth	1022	1166	1365	1551	DPS	4.0	4.0	4.0	4.0
Minority Interest	16	17	18	19	Valuation				
Loans	924	1013	963	905	P/E	19.3	13.1	10.2	10.7
Net Debt	813	727	589	458	EV/EBITDA	9.0	7.3	6.0	5.9
Net Debt (incl Export Adv)	802	700	548	402	EV/EBITDA (incl Export Adv)	9.0	7.3	5.9	5.8
Deferred Tax Liabilities	153	156	160	163	Price to Book Value	2.2	2.2	1.9	1.6
Other LT prov and liabilities	152	155	159	162	Dividend Yield (%)	2.2	2.0	2.0	2.0
Total	2267	2508	2664	2799	Profitability Ratios (%)				
Goodwill	75	75	75	75	EBITDA Margin	14.8	17.4	19.6	18.7
Net PP&E	1623	1691	1754	1812	Net Profit Margin	5.1	7.6	9.3	8.8
Capital WIP	285	285	285	285	Average RoE	12.2	17.7	19.7	16.2
Net Fixed Assets	1908	1976	2039	2097	Average RoCE	10.8	13.7	15.4	13.9
Investments	71	78	86	94	Growth (%)				
Other Non Current Assets	95	105	115	127	Net Sales	6.2	10.3	4.0	1.4
Current Assets	713	921	1004	1077	EBITDA	35.8	29.6	17.0	(2.9)
Inventory	472	492	499	511	Net Profit	176.6	64.1	28.2	(4.9)
Debtors	49	70	73	74	Modelware EPS	176.6	64.1	28.2	(4.9)
Cash & Bank	101	287	374	446	Leverage Ratio				
Other Current Assets	90	72	58	46	Net debt/Equity (x)	0.81	0.62	0.43	0.30
Current Liab & Prov	743	796	803	819	Net debt/EBITDA (x)	2.37	1.63	1.13	0.91
Creditors	345	389	392	403	Net debt/EBITDA (incl Export Adv)	2.33	1.57	1.05	0.80
Other Current Liabilities	337	347	358	368	Key Assumptions - Europe				
Provisions	60	60	54	49	Crude Steel Capacity (mnt)	12.1	12.1	12.1	12.1
Net Current Assets	-30	126	201	258	Production Volume (mnt)	6.7	6.6	6.8	6.8
Total	2267	2508	2664	2799	Utilization (%)	55%	54%	56%	56%
Key Assumptions - India					Sales Volume (mnt)	8.4	8.8	8.8	8.8
Crude Steel Capacity (mnt)	25.6	26.35	28.35	28.35	YoY Change(%)	-5%	5%	0%	0%
Production Volume (mnt)	22.5	24.2	25.5	26.5	Per ton metrics (Rs)				
Utilization (%)	88%	92%	90%	94%	Realization (Ex OI)	61235	63671	65142	64012
Sales Volume (mnt)	22.5	24.0	25.0	26.0	YoY Change(%)	-2%	4%	2%	-2%
YoY Change(%)	8%	7%	4%	4%	EBITDA/tonne (Rs)	14413	16739	17814	16246
					Per ton metrics (GBP)				
					Realization*	966	906	908	908
					YoY Change(%)	8%	-6%	0%	0%
					EBITDA/tonne (GBP)	2	33	63	70

Source: Company data, Morgan Stanley Research (E) estimates. Note: Fiscal year ends March.

Risk Reward – Steel Authority of India Limited (SAIL.NS)

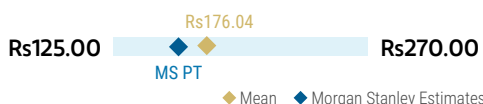
Margin expansion priced in; unattractive valuation drives UW

PRICE TARGET Rs160.00

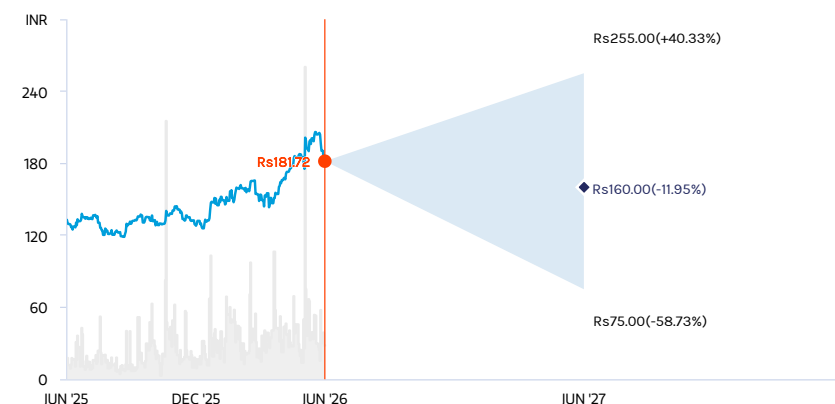
Probability-weighted target EV/EBITDA: base case 70%, bull case 20% (upside from improved global macroeconomic environment supports steel prices and volumes in the medium term, further supported by safeguard duty extension), bear case 10% (downside risks from unfavorable demand/supply and steel price outlook in the medium term). Key assumptions - target Jun-28 EV/EBITDA: bull case: ~7.0x; base case: ~6.0x; bear case: ~5.0x.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



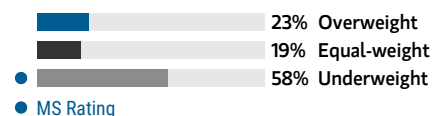
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- SAIL has the lowest profitability in our steel coverage on a per tonne basis given its high cost structure. During times of compression in spreads, SAIL is affected more than peers, but during times of spread expansion, it should benefit the most as well.
- We expect SAIL's EBITDA/t to improve over the next couple of years, led by higher steel prices.
- The stock has done well against this backdrop, but current valuation at F27e EV/EBITDA of ~7.7x looks unattractive vs. peers, in our view.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rs255.00

~7x June-28e EV/EBITDA

Higher steel prices and spreads: Our steel price assumptions are higher than in our base case. Steel business costs/ton are lower because of the company's cost control initiatives.

BASE CASE

Rs145.00

~6x June-28e EV/EBITDA

Volumes growth to lag peers, but spreads should expand: We estimate strong EBITDA growth over F26-28, led by high steel prices, and EBITDA margins should expand from ~10% to ~13% over the next couple of years. Net debt-equity remains good at ~0.6x by F27e.

BEAR CASE

Rs75.00

~5x June-28e EV/EBITDA

Lower steel prices, weak demand: Steel prices are weaker with muted domestic and global demand, driving sharp contraction in spreads over the medium term.

Risk Reward – Steel Authority of India Limited (SAIL.NS)

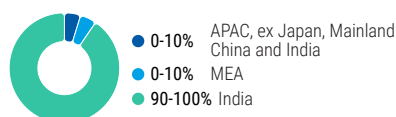
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Standalone Steel Volume Growth (YoY) (%)	11.4	5.3	2.2	2.2
Realization Change (YoY) (%)	(2.0)	4.4	1.3	(2.5)
Raw Material Cost/tonne (Rs)	28,028	29,804	29,056	28,047
EBITDA/tonne (Rs)	5,593	6,649	7,767	6,744
Capex (Rs, mn)	119,885	150,001	200,000	250,000

INVESTMENT DRIVERS

- Trends in global macroeconomic environment
- Trends in inventory levels and steel prices
- Trends in input costs, especially coking coal

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Domestic demand and the company's volume growth improving ahead of expectations
- Higher-than-expected domestic steel prices

RISKS TO DOWNSIDE

- Weaker-than-expected prices/volume momentum
- Faster-than-expected earnings deterioration

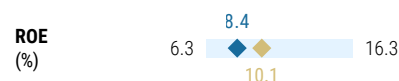
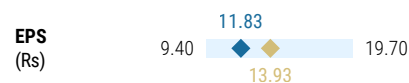
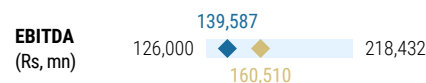
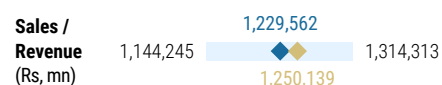
OWNERSHIP POSITIONING

Inst. Owners, % Active 77.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

SAIL: Financial Summary

Exhibit 28: SAIL: Financial Summary

Income Statement (Rs mn; YE Mar)	2026	2027E	2028E	2029E
Net Sales	1,108,102	1,229,562	1,272,591	1,267,845
Total Expenditure	996,611	1,089,975	1,105,981	1,120,058
Depletion to stocks	51,569	60,000	40,000	20,000
Raw Material	553,985	693,321	714,858	728,755
Pur of products	55,074	-	-	-
Stores & spares	47,943	50,987	53,119	55,309
Employee Cost	113,922	113,231	112,605	111,640
Power & Fuel	85,018	93,077	99,858	107,115
Repairs and maint.	22,189	24,127	26,839	30,327
Freight outward	35,590	37,861	39,072	40,315
Other Expenses	133,272	144,964	151,185	160,710
Less-Fin prod. int cons	-	-	-	-
Trf to interac adj	101,950	127,592	131,555	134,113
EBITDA	111,491	139,587	166,610	147,788
Depreciation	59,854	64,244	66,584	70,074
EBIT	51,637	75,343	100,026	77,714
Int. & Finance Charges	21,581	22,000	23,000	24,000
Other Income	11,511	12,000	13,000	13,000
Exceptional Item	(6,682)	-	-	-
Profit before Tax	34,885	65,343	90,026	66,714
Tax	11,004	16,466	22,686	16,812
Profit after Tax	23,881	48,876	67,339	49,902
Adj. Profit after Tax	30,563	48,876	67,339	49,902
Extraordinary (Net of Tax)	0	0	0	0
Reported PAT	23,881	48,876	67,339	49,902

Cash Flow (Rs mn; YE Mar)	2026	2027E	2028E	2029E
PAT	23,881	48,876	67,339	49,902
Depreciation	59,854	64,244	66,584	70,074
Change in Inventory	56,163	(18,089)	(8,842)	975
Change in Debtors	10,158	(18,803)	(2,947)	325
Chng in Int	(7,359)	(1,825)	(1,917)	(2,012)
Chg in Loans and Adv	(2,320)	(738)	(775)	(814)
Chg in Creditors	4,214	10,250	1,754	1,543
Chg in Curr Liab	21,675	11,871	2,631	2,314
Chng in Prov	1,454	1,436	246	216
Net Op Cash Flow	167,720	97,222	124,075	122,523
Capital Expenditure	(119,885)	(150,001)	(200,000)	(250,000)
Other Inv CF	(294)	22,012	25,314	29,111
CF from Investing	(120,178)	(127,989)	(174,686)	(220,889)
Chge in Defrd Tax Liab	-	-	-	-
Change in Misc Exp	-	-	-	-
Change in Equity	-	-	-	-
Change in Borrowings	(51,647)	54,373	65,068	110,758
Dividends Paid	(9,707)	(12,392)	(14,457)	(12,392)
CF From Financing	(50,138)	30,766	50,612	98,366
Change in Cash	(2,596)	(0)	-	0

Ratios	2026	2027E	2028E	2029E
Key Assumptions				
Crude Steel Capacity (mnt)	21.4	21.4	21.4	21.4
Crude Steel Production (mnt)	19.4	20.1	20.4	20.8
Average Utilization (%)	91%	94%	95%	97%
Finished Steel Sales Volume (mnt)	19.9	21.0	21.5	21.9
YoY Change(%)	11%	5%	2%	2%
Share of Domestic sales (%)	99%	99%	98%	98%
Blended realization per tonne (Rs)	55,591	58,565	59,323	57,853
YoY Change(%)	-3%	5%	1%	-2%
EBITDA/tonne (Rs)	5,593	6,649	7,767	6,744
Per Share Metrics (Rs)				
EPS	7.4	11.8	16.3	12.1
BPS	140.9	147.0	159.8	168.9
DPS	2.4	3.0	3.5	3.0
Profitability Ratios (%)				
EBITDA Margin	10%	11%	13%	12%
Avg RoE	5%	8%	11%	7%
Avg ROCE	6%	8%	9%	7%
Growth (%)				
Net Sales	8%	11%	3%	0%
EBITDA	5%	25%	19%	-11%
Net Profit	24%	60%	38%	-26%
Leverage Ratio				
Net Debt/Equity (x)	0.5	0.6	0.6	0.8
Net Debt/EBITDA (x)	2.7	2.6	2.6	3.6
Valuation Metrics				
P/E	20.2	15.7	11.4	15.4
EV/EBITDA	8.3	8.1	7.2	8.8
PB	1.1	1.3	1.2	1.1

Balance Sheet (Rs mn; YE Mar)	2026	2027E	2028E	2029E
Share Capital	41,305	41,305	41,305	41,305
Reserves and Surplus	540,648	565,918	618,800	656,310
Net Worth	581,954	607,223	660,105	697,615
Loans	311,998	366,372	431,440	542,198
Net Debt	305,545	359,918	424,986	535,744
Deferred Tax Liability	-	-	-	-
Other LT Liabilities	146,746	168,758	194,072	223,183
Capital Employed	1,040,698	1,142,353	1,285,617	1,462,996
Application of Funds				
Gross Fixed Assets	1,431,556	1,556,556	1,731,556	1,956,556
Less: Depreciation	672,108	736,352	802,936	873,010
Net Fixed Assets	759,448	820,204	928,620	1,083,546
Capital WIP	105,526	130,526	155,526	180,526
Investments	19,001	19,001	19,001	19,001
Other LT assets	90,858	90,858	90,858	90,858
Curr. Assets, Loans & Advances				
Inventory	234,561	252,650	261,491	260,516
Sundry Debtors	65,414	84,217	87,164	86,839
Cash & Bank Balances	6,454	6,454	6,454	6,454
Interest Recd	-	-	-	-
Loans and Advances	14,759	15,497	16,271	17,085
Other current assets	36,507	38,332	40,249	42,261
Current Liabilities				
Sundry Creditors	109,200	119,449	121,203	122,746
Other current Liabilities	167,303	179,174	181,805	184,119
Provisions	15,326	16,762	17,008	17,225
Net Current Assets	65,865	81,763	91,612	89,065
Application of Funds	1,040,698	1,142,353	1,285,617	1,462,996

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward – Jindal Steel Ltd (JINT.NS)

Improved balance sheet, strong growth with expansionary margin profile; OW

PRICE TARGET Rs1,340.00

Probability-weighted target EV/EBITDA: base case 70%, bull case 20% (upside from improved global macroeconomic environment supports steel prices and volumes in the medium term, further supported by safeguard duty extension), bear case 10% (downside risks from unfavorable demand/supply and steel price outlook in the medium term). Key assumptions - target Jun-28 EV/EBITDA: bull case: ~9x; base case: ~7.5x; bear case: ~6x.

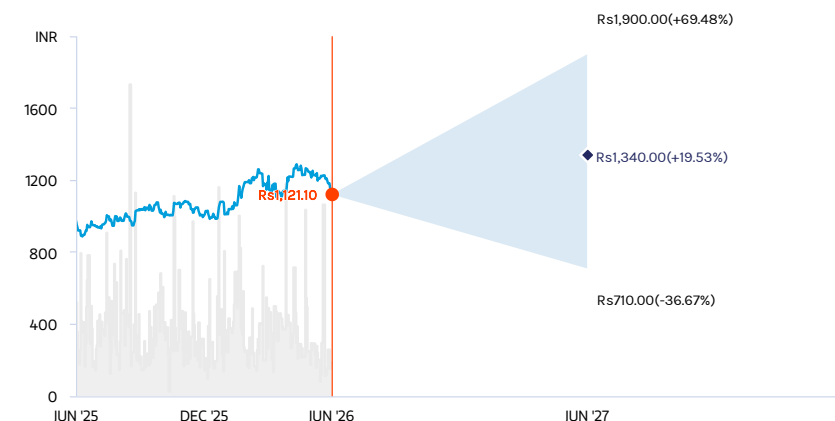
Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research

Rs595.00 Rs1,280.07 Rs1,450.00

Mean MS PT Morgan Stanley Estimates

RISK REWARD CHART



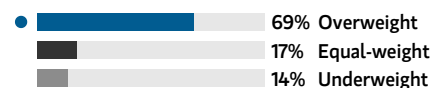
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Jindal Steel has strong capacity expansion plans, which should help drive solid volume growth and hence market share gains over the medium term.
- Also, various backward integration initiatives should provide margin expansion potential.
- That said, investors would want to see timely execution on these fronts.
- The balance sheet has improved over the past few years, helped further by divestment of the power business.
- Margins should expand over the next couple of years, supported by higher steel prices.
- The stock is currently trading at ~9x F27 EV/EBITDA and we believe should sustain this against above backdrop.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: Positive

Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rs1,900.00

~9x June-28e EV/EBITDA

Higher steel prices and spreads: Our steel price assumptions are higher than in our base case. Steel business costs/ton are lower because of the company's cost control initiatives.

BASE CASE

Rs1,270.00

~7.5x June-28e EV/EBITDA

Strong volume growth over medium term with expansionary margins: We expect high-teens volume CAGR over F2026-28, EBITDA margins should expand materially during the period. Net debt-equity remains good at ~0.3x by F2027e.

BEAR CASE

Rs710.00

~6x June-28e EV/EBITDA

Lower steel prices, weak demand: Steel prices are weaker with muted domestic and global demand, driving sharp contraction in spreads over the medium term.

Risk Reward – Jindal Steel Ltd (JINT.NS)

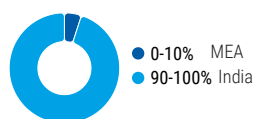
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Standalone Steel Volume Growth (YoY) (%)	5.9	26.6	11.0	10.4
Raw Material cost/tonne (Rs)	37,636	35,129	35,065	34,214
Standalone EBITDA/tonne (Rs)	9,963	14,029	16,022	14,005
Power Business EBITDA (Rs, mn)	21,501	22,989	24,494	26,016
Capex (Rs, mn)	99,318	75,000	75,000	75,000

INVESTMENT DRIVERS

- Trends in global macroeconomic environment
- Trends in inventory levels and steel price
- Trends in input costs, especially coking coal

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected improvement in global macroeconomic environment, thereby driving demand and steel prices higher
- Pickup in exports with sharp improvement in global demand

RISKS TO DOWNSIDE

- Slower domestic steel volume growth
- Weaker-than-expected profitability owing to weaker steel prices and higher costs
- Weaker-than-expected performance in international operations

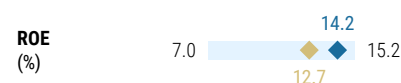
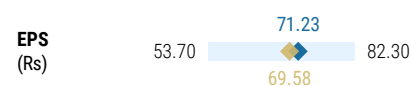
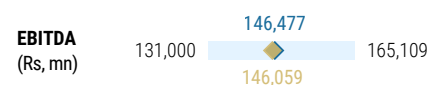
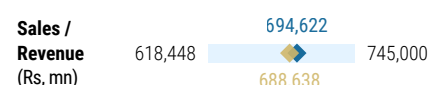
OWNERSHIP POSITIONING

Inst. Owners, % Active 81.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Jindal Steel: Financial Summary

Exhibit 29: Jindal Steel: Financial Summary

INCOME STATEMENT (Rs mn)	2026	2027E	2028E	2029E	Cash Flow (Rs mn)	2026	2027E	2028E	2029E
Net Sales	532,249	694,622	776,116	826,044	PAT	42,388	72,477	106,552	107,551
Raw Materials	264,152	360,295	394,218	424,127	Deferred Tax	4,060	-	-	-
Power and Fuel	68,335	68,250	58,000	70,400	Depreciation	31,715	36,007	38,591	41,175
Other Mfg. Expenses	23,000	24,500	27,000	30,000	Change in Provisions	331	38	39	41
Personnel	12,509	13,100	13,800	14,500	Change in Inventories	(24,126)	(14,109)	(14,227)	(8,139)
Admin and Selling	76,862	91,000	96,000	99,000	Change in Sundry Debtors	(3,661)	484	(3,341)	(1,800)
Change in stock	(9,204)	(9,000)	(5,000)	(5,000)	Change in Loans & Advances	(20,604)	-	-	-
Total operating expenses	435,654	548,145	584,018	633,027	Change in Sundry Creditors	30,652	13,298	15,243	8,721
EBITDA	96,595	146,477	192,099	193,017	Change in Other Liabilities	3,984	811	1,378	2,059
Other Income	3,282	2,000	2,000	2,000	Inc/Dec in Fixed Assets	(99,318)	(75,000)	(75,000)	(75,000)
Interest	15,166	15,500	13,000	10,000	Proceeds from sale of PPE				
Depreciation	31,715	36,007	38,591	41,175	Inc/Dec in Investments	(9,667)	-	-	-
Exceptional Item	8,714	-	-	-	Inc/Dec in Goodwill	-	-	-	-
PBT	52,997	96,970	142,508	143,842	Inc/Dec in Equity	6	-	-	-
Tax	10,523	24,407	35,869	36,205	Inc/Dec in Minority Interest	7,076	(65)	(65)	(65)
Profit before MI	42,474	72,563	106,638	107,637	Ordinary Dividend Paid	(2,035)	(3,053)	(4,070)	(4,070)
Share in profits of associates	(151)	(151)	(151)	(151)	Net Proceeds from LT Borrowing	42,035	(30,000)	(60,000)	(60,000)
Minority Interest	65	65	65	65	Change in Other reserves	(3,218)	-	-	-
Reported PAT	33,674	72,477	106,552	107,551	Inc / (Dec) in Cash	(385)	888	5,101	10,472
Modelware Net Income	42,388	72,477	106,552	107,551	Opening balance	41,801	41,416	42,304	47,405
EPS	41.7	71.2	104.7	105.7	Closing balance	41,416	42,304	47,405	57,877
BALANCE SHEET (Rs mn)	2026	2027E	2028E	2029E	Ratios	2026	2027E	2028E	2029E
Equity Capital	1,018	1,018	1,018	1,018	Key Assumptions				
Reserves and Surplus	507,972	577,396	679,878	783,359	Crude Steel Capacity (mnt)	15.9	15.9	15.9	15.9
Minority Interest	9,421	9,355	9,290	9,225	Crude Steel Production* (mnt)	9.3	11.1	12.2	13.4
Secured Loan	211,733	181,733	121,733	61,733	Utilization (%)	54%	66%	73%	81%
Unsecured Loan	14,362	14,362	14,362	14,362	Sales Volume* (mnt)	8.5	10.6	11.7	12.9
Total Loan	226,096	196,096	136,096	76,096	YoY Change(%)	7%	25%	10%	10%
Net Debt	184,680	153,791	88,690	18,218	Realization per tonne	62,618	65,530	66,335	64,284
Deferred Tax Liability	62,605	62,605	62,605	62,605	YoY Change(%)	0%	5%	1%	-3%
Other LT Liab & Prov	13,619	16,342	19,611	23,533	EBITDA/tonne (Rs)*	11,364	13,819	16,419	15,021
Total Capital Employed	1,231,504	1,212,699	1,133,283	1,050,149	Valuation				
Net Block	640,470	680,463	717,872	752,697	P/E	26.7	16.1	11.0	10.9
Capital WIP	83,716	82,716	81,716	80,716	EV/EBITDA	13.7	9.1	6.6	6.2
Net Fixed Assets	724,186	763,179	799,588	833,413	Price to Book Value	2.2	2.0	1.7	1.5
Investments	31,676	31,676	31,676	31,676	Profitability Ratios (%)				
Goodwill on consolidation	554	554	554	554	EBIDTA Margins	18%	21%	25%	23%
Other LT assets	14,793	13,313	11,982	10,784	Net Profit Margins	8%	10%	14%	13%
Inventories	80,228	94,337	108,564	116,703	Average RoE	9%	13%	17%	15%
Sundry Debtors	17,290	16,806	20,147	21,947	Average RoCE	7%	10%	13%	13%
Cash and Bank Balances	41,416	42,304	47,405	57,877	Growth (%)				
Loans & Advances	67,475	67,475	67,475	67,475	Sales	7%	31%	12%	6%
Current Assets	206,409	220,923	243,591	264,003	EBITDA	2%	52%	31%	0%
Sundry Creditors	87,777	101,075	116,318	125,039	Net Profit	5%	71%	47%	1%
Other Liabilities	67,834	64,442	61,220	58,159	Leverage Ratio				
Provisions	1,278	1,316	1,355	1,396	Net Debt/Equity (x)	0.4	0.3	0.1	0.0
Current Liabilities	156,889	166,833	178,894	184,594	Net Debt/EBITDA (x)	1.9	1.0	0.5	0.1
Net Current Assets	49,520	54,089	64,697	79,409					
Appl. of Funds	820,729	862,812	908,497	955,835					

Source: Company data, Morgan Stanley Research (E) estimates. Note: Fiscal year ends in March.

Risk Reward – JSW Steel Ltd. (JSTL.NS)

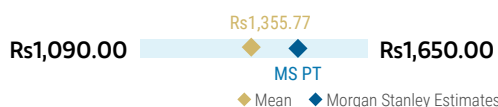
Strong growth with expanding margins; OW

PRICE TARGET Rs1,470.00

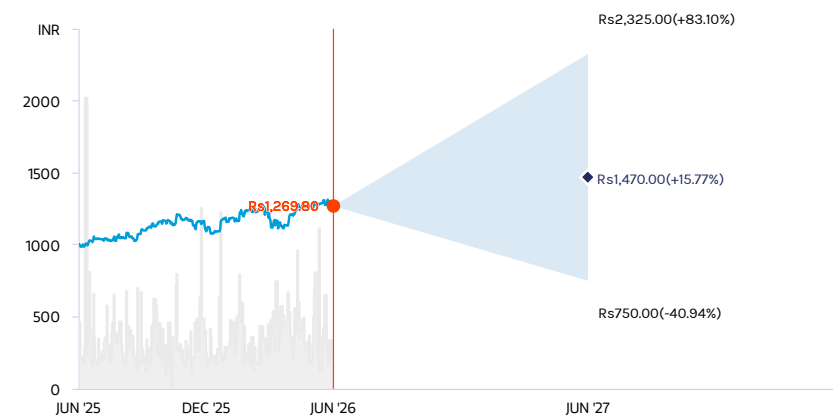
Probability-weighted target EV/EBITDA basis for JSW Steel and BPSL:JFE 50:50 JV: base case 70%, bull case 20% (upside from improved global macroeconomic environment supports steel prices and volumes in the medium term, further supported by safeguard duty extension), bear case 10% (downside risks from unfavorable demand/supply and steel price outlook in the medium term). Key assumptions - target Jun-28 EV/EBITDA: bull: 12x; base: 10x; bear: 8x.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



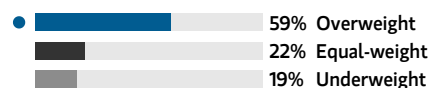
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Capacity ramp-up and new capacity expansion should help drive strong volume growth and hence market share gains over medium term.
- This should lead to strong EBITDA growth at JSW Steel. This, coupled with a positive outlook for steel prices, should drive margin expansion over the next couple of years.
- The stock is trading at ~11x F27e EV/EBITDA, which is at a premium to peers, but should be sustained due to its higher growth profile.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

Rs2,325.00

~12x June-28e EV/EBITDA

Better volume and price momentum in the domestic business, helped by higher-than-expected demand growth and recovery in global steel prices: Steel prices are higher than in our base case. JSW Steel also benefits from faster capacity ramp-up as demand growth is better than in our base case.

BASE CASE

Rs1,325.00

~10x June-28e EV/EBITDA

Capacity expansion drives strong volume growth, and higher prices should drive margins expansion: Strong volumes growth and steel prices for the Indian business over F26-28, with EBITDA/t expanding from Rs9.5K/t in F26 to Rs11.5K/t in F28E.

BEAR CASE

Rs750.00

~8x June-28e EV/EBITDA

Weaker-than-expected global and domestic macro environment leads to weak core earnings: Steel prices are below our base case, and volume growth disappoints with muted demand and slower-than-expected new capacity ramp-up.

Risk Reward – JSW Steel Ltd. (JSTL.NS)

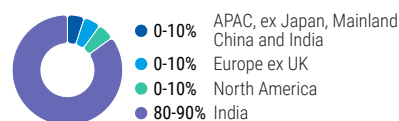
KEY EARNINGS INPUTS

Drivers	2026	2027e	2028e	2029e
Standalone Steel Volume Growth (YoY) (%)	3.0	2.9	10.7	12.1
Realization Change (YoY) (%)	(0.5)	8.4	1.2	(4.1)
Raw Material Cost/tonne (Rs)	32,519	35,061	35,340	35,196
Standalone EBITDA/tonne (Rs)	9,014	10,123	11,542	10,216
Capex (Rs, mn)	34,750	243,000	253,000	253,000

INVESTMENT DRIVERS

- Trends in global macroeconomic environment
- Trends in inventory levels and steel prices
- Trends in input costs, especially coking coal

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Domestic demand and company volume growth improving ahead of expectations, leading to higher steel prices
- Faster project ramp-up

RISKS TO DOWNSIDE

- Weaker-than-expected prices/volume momentum
- Delay in commissioning of new capacity
- Higher-than-expected iron ore cost from auctioned mines

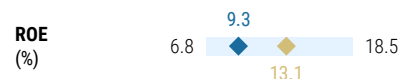
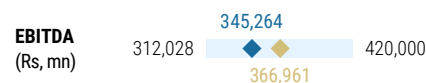
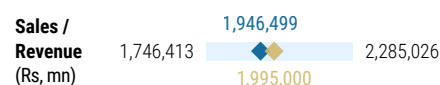
OWNERSHIP POSITIONING

Inst. Owners, % Active 81.5%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

JSW Steel: Financial Summary

Exhibit 30: JSW Steel: Financial Summary

Income Statement (Rs mn; YE Mar)	F2026	F2027E	F2028E	F2028E
Net Sales	1,854,700	1,946,499	2,152,410	2,296,083
Consumption of Materials	918,720	1,453,056	1,559,141	1,653,024
Excise on Finished Goods	-	-	-	-
Change in Stock	47,190	(90,000)	(60,000)	(35,000)
Power & Fuel	161,520	243,575	271,501	290,416
Mfg & Other Exp	376,210	(104,056)	(138,096)	(134,257)
Staff Costs	52,850	98,659	104,717	110,823
Total Expenses	1,556,490	1,601,234	1,737,264	1,885,006
EBITDA	298,210	345,264	415,146	411,077
Other Income	12,480	11,000	15,000	16,000
Depreciation	96,010	98,534	101,877	106,002
Interest	91,020	86,147	93,234	106,919
Miscellaneous Expenses Written Off	-	-	-	-
Exceptional Items	(173,590)	-	-	-
PBT	297,250	171,583	235,035	214,156
Tax	37,420	43,187	59,158	53,903
PAT	259,830	128,396	175,876	160,253
Min. Interest (Net)	31,920	31,920	31,920	31,920
Share of P/(L) in Associates	(4,750)	1,867	2,306	1,776
Adjusted PAT	49,570	98,343	146,263	130,108
Preference Dividend	279	279	279	279
Modelware NI	49,291	98,064	145,984	129,829
Dividend (Including DDT)	17324	14640	21960	21960
Payout Ratio (%)	35%	15%	15%	17%
Balance Sheet (Rs mn; YE Mar)	F2026	F2027E	F2028E	F2028E
Sources of Funds				
Equity Shares Capital	2,440	2,440	2,440	2,440
Shares Forfeited	610	610	610	610
Preference Shares	-	-	-	-
Reserves & Surplus	998,090	1,081,793	1,206,096	1,314,244
Net Worth	1,000,530	1,084,233	1,208,536	1,316,684
Minority	54,220	86,140	118,060	149,980
Secured Loans	424,342	494,192	624,042	753,892
Unsecured Loans	524,248	504,248	484,248	464,248
Net Debt	821,390	747,780	787,756	839,146
Net Debt (Including Acceptances)	1,010,168	1,046,354	1,108,127	1,178,808
Deferred Tax Liability (Net)	92,930	92,930	92,930	92,930
Other LT liab & prov.	66,170	72,787	80,066	88,072
Capital Employed	2,162,440	2,334,530	2,607,881	2,865,806
Application of Funds				
Gross Block	1,706,520	1,949,520	2,202,520	2,455,520
Accumulated Depreciation	591,000	689,534	791,411	897,414
Net Block	1,115,520	1,259,986	1,411,109	1,558,106
Capital WIP	223,150	223,150	223,150	223,150
Investments	102,180	102,180	102,180	102,180
Goodwill	6,550	6,550	6,550	6,550
Other LT Assets	170,970	188,067	206,874	227,561
Current Assets	746,480	916,630	1,042,282	1,154,898
Inventories	327,650	355,982	380,368	404,726
Debtors	112,600	113,055	124,753	132,889
Cash & Bank	127,200	250,660	320,534	378,994
Loans & Advances	179,030	196,933	216,626	238,289
Other Current Assets	-	-	-	-
Current Liabilities & Provisions	251,630	411,253	433,483	455,859
Other Liabilities	100,470	100,470	100,470	100,470
Provisions	3,320	3,571	3,847	4,151
Net Current Assets	494,850	505,377	608,799	699,039
Total Assets	2,162,440	2,334,530	2,607,881	2,865,806
Cash Flow (Rs mn; YE Mar)	F2026	F2027E	F2028E	F2028E
PAT	49,570	98,343	146,263	130,108
Depreciation	96,010	98,534	101,877	106,002
Change in Inventories	21,910	(28,332)	(24,386)	(24,358)
Change in Debtors	(28,450)	(455)	(11,698)	(8,136)
Change in Loans & Advances	(96,420)	(17,903)	(19,693)	(21,663)
Chg in Other CA	-	-	-	-
Change in Creditors	(576,580)	159,372	21,953	22,073
Chg in Other Liabilities	45,810	-	-	-
Change in Provisions	470	251	276	304
Net Operation CF	(487,680)	309,810	214,593	204,330
Capex	(34,750)	(243,000)	(253,000)	(253,000)
Change in Investments	49,990	-	-	-
Change in Goodwill	(970)	-	-	-
CF From Investing	14,270	(243,000)	(253,000)	(253,000)
Chg in Defrd Tax Liab	(2,170)	-	-	-
Change in Other LT Assets/Liab.	970	(10,480)	(11,528)	(12,681)
Change in Misc Exp	-	-	-	-
Change in Equity	205,844	31,920	31,920	31,920
Change in Borrowings	50,110	49,850	109,850	109,850
Dividends Paid	(17,324)	(14,640)	(21,960)	(21,960)
CF from Financing	237,430	56,650	108,282	107,129
Change in Cash	(235,980)	123,460	69,875	58,460
Opening Cash	363,180	127,200	250,660	320,534
Closing Cash	127,200	250,660	320,534	378,994
Ratios	F2026	F2027E	F2028E	F2028E
Key Assumptions				
Crude Steel Capacity (mnt)	33.5	33.5	38.5	38.5
Crude Steel Production (mnt)	29.1	32.9	36.1	39.5
Utilization (%)	65%	74%	71%	79%
Consolidated Steel Volume (mnt)	30.1	31.1	34.1	37.6
YoY Change(%)	15.7%	3.5%	9.4%	10.4%
Standalone Steel Volume (mnt)	22.4	23.0	25.5	28.6
YoY Change(%)	3.0%	2.9%	10.7%	12.1%
Share of Domestic (%)	90%	90%	89%	89%
Share of Export (%)	10%	10%	11%	11%
Per ton metrics (Rs)				
Standalone Realization (Ex Other operating income)	57,500	62,309	63,060	60,490
YoY Change(%)	-1%	8%	1%	-4%
Standalone EBITDA/tonne (Rs)	9,014	10,123	11,542	10,216
Per Share Metrics (Rs)				
EPS	20.3	40.3	59.9	53.3
BPS	410	444	495	540
DPS	7.1	6.0	9.0	9.0
Valuation Metrics				
P/E	57.0	31.2	21.0	23.6
EV/EBITDA	12.2	11.1	9.3	9.5
EV/EBITDA (incl Acceptance)	12.9	11.9	10.1	10.3
EV/Sales	2.0	2.0	1.8	1.7
P/B	2.8	2.8	2.5	2.3
Profitability Ratios (%)				
EBITDA Margin	16.1	17.7	19.3	17.9
Net Profit Margin	2.7	5.1	6.8	5.7
Average RoE	5.5	9.4	12.8	10.3
Average RoCE	10.7	11.5	13.3	11.7
Growth (%)				
Net Sales	9.9	4.9	10.6	6.7
EBITDA	30.2	15.8	20.2	(1.0)
Net Profit	24.1	98.4	48.7	(11.0)
EPS	24.1	98.4	48.7	(11.0)
Leverage Ratio				
Debt / Equity (x)	0.9	0.9	0.9	0.9
Net debt / Equity (x)	0.8	0.7	0.7	0.6
Net debt (incl acceptance) / Equity (x)	1.0	1.0	0.9	0.9
Net debt/EBITDA (x)	2.8	2.2	1.9	2.0
Net debt (incl acceptance) / EBITDA (x)	3.4	3.0	2.7	2.9

Source: Company data, Morgan Stanley Research (E) estimates.

Valuation Methodology and Risks

Coal India Limited (COAL.NS)

Base case, derived from residual income model. Key assumptions include CoE of 11.7%, terminal ROE of 16%, and terminal growth of 2.0%.

Risks to Upside

- Faster-than-expected thermal coal demand pickup
- Sharp hikes in domestic coal prices (both FSA and e-auction)
- Sharp improvement in cost ratios

Risks to Downside

- Power demand slows, driving lower demand for coal
- Weak demand driving lower e-auction prices and, hence, weak realizations
- Weak cash flows leading to dividend cuts

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

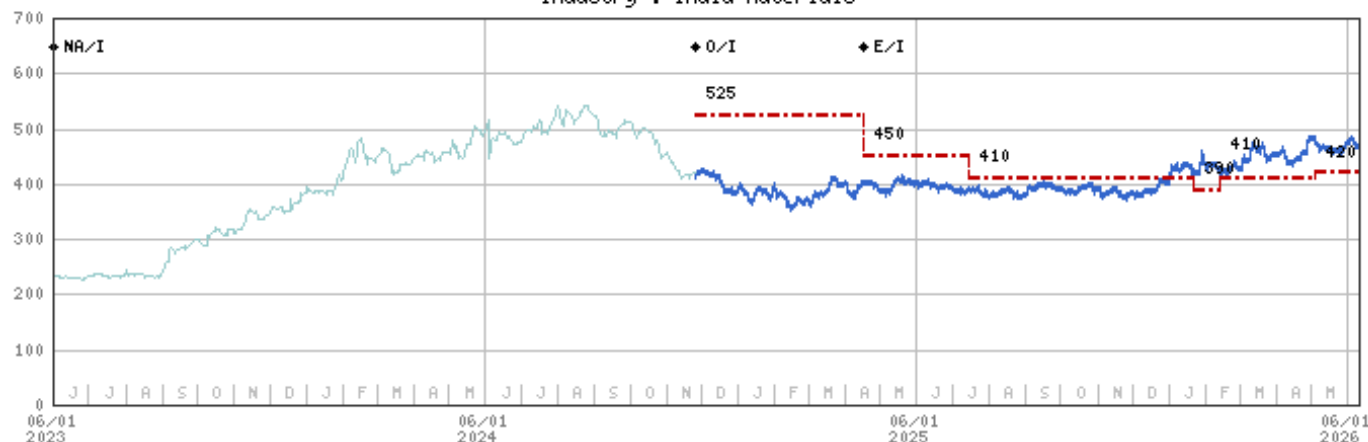
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Coal India Limited (COAL.NS) - As of 06/10/26 GMT in INR
Industry : India Materials



Stock Rating History: 6/1/21 : NA/I; 8/5/22 : NA/NR; 10/20/22 : NA/I; 11/26/24 : O/I; 4/17/25 : E/I

Price Target History: 11/26/24 : 525; 4/17/25 : 450; 7/15/25 : 410; 1/21/26 : 390; 2/13/26 : 410; 5/4/26 : 420

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Jindal Steel Ltd (JINT.NS) - As of 06/10/26 GMT in INR
Industry : India Materials



Stock Rating History: 6/1/21 : E/A; 7/20/21 : NA/A; 8/5/22 : NA/NR; 10/20/22 : U/I; 8/5/24 : E/I; 10/2/24 : O/I; 4/17/25 : E/I; 1/21/26 : O/I

Price Target History: 5/14/21 : 535; 7/20/21 : NA; 10/20/22 : 345; 1/27/23 : 400; 4/14/23 : 460; 10/11/23 : 500; 12/8/23 : 525; 3/14/24 : 655; 8/5/24 : 885; 9/19/24 : 970; 10/2/24 : 1200; 4/17/25 : 900; 7/15/25 : 950; 9/5/25 : 1150; 1/21/26 : 1250

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

JSW Steel Ltd. (JSTL.NS) - As of 06/10/26 GMT in INR
Industry : India Materials



Stock Rating History: 6/1/21 : O/A; 7/20/21 : NA/A; 8/5/22 : NA/NR; 10/20/22 : U/I; 8/5/24 : E/I; 10/2/24 : O/I; 4/17/25 : E/I; 9/5/25 : O/I

Price Target History: 5/24/21 : 920; 7/20/21 : NA; 10/20/22 : 490; 1/27/23 : 545; 4/14/23 : 580; 10/11/23 : 585; 12/8/23 : 620; 3/14/24 : 650; 8/5/24 : 815; 9/19/24 : 895; 10/2/24 : 1150; 4/17/25 : 1000; 7/15/25 : 1100; 9/5/25 : 1300; 1/21/26 : 1330

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

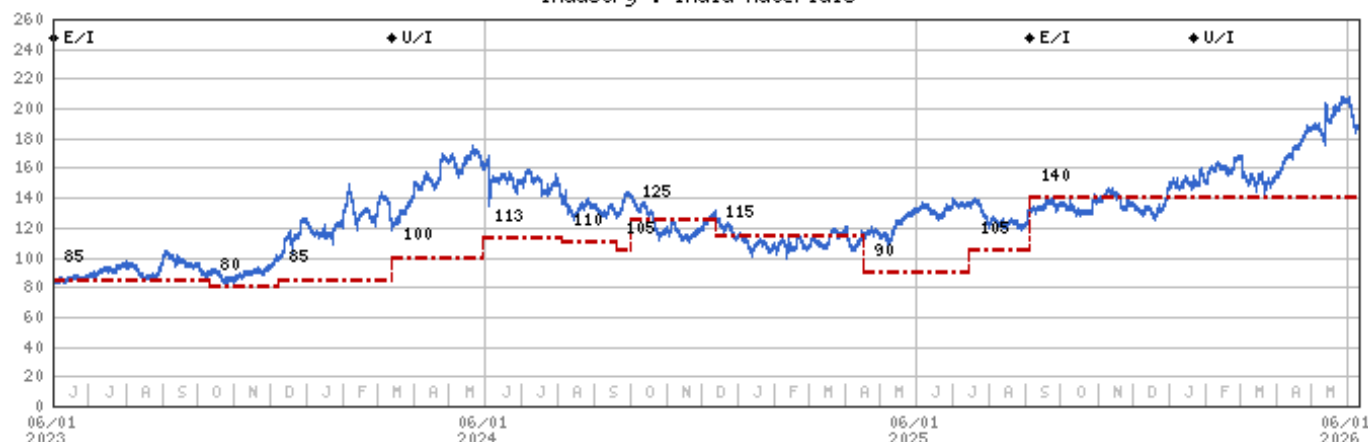
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Steel Authority of India Limited (SAIL.NS) - As of 06/10/26 GMT in INR
Industry : India Materials



Stock Rating History: 6/1/21 : E/A; 7/20/21 : NA/A; 8/5/22 : NA/NR; 10/20/22 : E/I; 3/14/24 : U/I; 9/5/25 : E/I; 1/21/26 : U/I

Price Target History: 4/6/21 : 98; 6/14/21 : 140; 7/20/21 : NA; 10/20/22 : 70; 1/27/23 : 80; 4/14/23 : 85; 10/11/23 : 80; 12/8/23 : 85; 3/14/24 : 100; 5/29/24 : 113; 8/5/24 : 110; 9/19/24 : 105; 10/2/24 : 125; 12/12/24 : 115; 4/17/25 : 90; 7/15/25 : 105; 9/5/25 : 140

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Tata Steel (TISC.NS) - As of 06/10/26 GMT in INR
Industry : India Materials



Stock Rating History: 6/1/21 : O/A; 7/19/21 : NA/A; 8/5/22 : NA/NR; 10/20/22 : E/I; 8/5/24 : U/I; 10/2/24 : E/I; 4/17/25 : U/I; 9/5/25 : O/I

Price Target History: 5/7/21 : 1630; 7/19/21 : NA; 10/20/22 : 95; 1/27/23 : 110; 10/11/23 : 115; 12/8/23 : 120; 3/14/24 : 135; 5/30/24 : 145; 8/5/24 : 135; 10/2/24 : 175; 12/12/24 : 160; 4/17/25 : 125; 7/15/25 : 140; 9/5/25 : 200; 1/21/26 : 215

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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INDUSTRY COVERAGE: India Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
Rahul Gupta		
ACC Ltd. (ACC.NS)	U (02/17/2025)	Rs1,316.20
Ambuja Cements Ltd (ABUJ.NS)	E (02/12/2026)	Rs409.80

Coal India Limited (COAL.NS)	E (04/17/2025)	Rs451.00
Dalmia Bharat Ltd (DALB.NS)	U (07/19/2024)	Rs1,637.90
Grasim Industries Ltd (GRAS.NS)	O (06/09/2025)	Rs3,071.20
Hindalco Industries Ltd (HALC.NS)	O (05/26/2026)	Rs1,039.30
Jindal Steel Ltd (JINT.NS)	O (01/21/2026)	Rs1,121.10
JSW Steel Ltd. (JSTL.NS)	O (09/05/2025)	Rs1,269.80
Shree Cement Ltd (SHCM.NS)	U (02/12/2026)	Rs23,850.00
Steel Authority of India Limited (SAIL.NS)	U (01/21/2026)	Rs181.72
Tata Steel (TISC.NS)	O (09/05/2025)	Rs199.31
Ultratech Cement Ltd (ULTC.NS)	O (06/02/2022)	Rs10,866.00

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